



VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to finance@vseus.ca!

Market Overview:

The S&P 500 continues hitting record highs as the monthly jobs report reaffirms labor market weakness. The Fed is mostly likely to cut 25 bps ¹during the next meeting. Several Fed governors signal that they are more concerned about the labor market, even though inflation is above 2%.

¹ Bps: It means basis points. For example if they decrease 25 bps, the interest rate will decrease 0.25%.



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Article 1: Repo Market Strains Return as Bank of Canada Winds Down QT

Author, Source & Date Published: Erik Hertzberg, Bloomberg, September 10, 2025

Link: [Bloomberg Article](#) & [Bank of Canada](#)

Summary:

The Bank of Canada's **Quantitative Tightening (QT)**² is creating stress in the private repo market.

Key Takeaways:

- During the pandemic, the BoC cut rates to the floor and launched **Quantitative Easing**³, buying government bonds to inject liquidity into the system. Now, in a very different environment, it's doing the opposite: letting those bonds mature without reinvesting. This reduces the amount of cash in the system.
- The overnight funding market, where banks conduct repo transactions by lending money to each other. With less liquidity available, it's becoming harder to find funding, and repo rates like **CORRA (Canadian Overnight Repo Rate Average)**⁴ are beginning to show tension, sometimes increasing above the BoC's ideal range.

Canadian Overnight Repo Rate Average (CORRA)

Rate and trimmed trading volume



Source: Bank of Canada, CORRA Data (Accessed September 2025)

² Quantitative Tightening: A central bank lets bonds mature without reinvesting, reducing liquidity.

³ Quantitative Easing: A central bank buys government bonds to increase liquidity into the economy.

⁴ CORRA: A benchmark interest rate that reflects the overnight borrowing cost of repo agreements using Government of Canada bonds as collateral.



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- So why don't banks just go directly to the BoC to borrow? Technically, they can. The BoC sets the upper and lower bounds of the overnight rate, and offers a standing liquidity facility at the top of this range. But here's the catch: borrowing from the central bank signals financial instability. It suggests the bank couldn't get funds elsewhere, which might raise red flags.
- The BoC is also not eager to get involved. It prefers to stay in the background, simply setting the structure and letting the market do its thing. But that only works when there's enough cash in the system. As QT drains liquidity, some actors may struggle, and the BoC might need to step in.

Educational Angle:

Students should know that in Canada, banks must balance their balance sheets daily. They can achieve this using different methods like [repos⁵](#), unsecured loans, or transactions with the central bank. This market ensures that banks have just enough liquidity to meet daily obligations.

It's like the Canadian financial system needs a daily health check, just like going frequently to the doctor. This is why, during the financial crisis, the Canadian market didn't suffer as much as other countries.

⁵ Repos: Short-term loans where one party sells an asset and agrees to buy it back the next day in this context.



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Article 2: Judge Blocks Trump From Removing Fed Governor Lisa Cook

Author, Source & Date Published: Lydia Wheeler, WSJ, September 3, 2025.

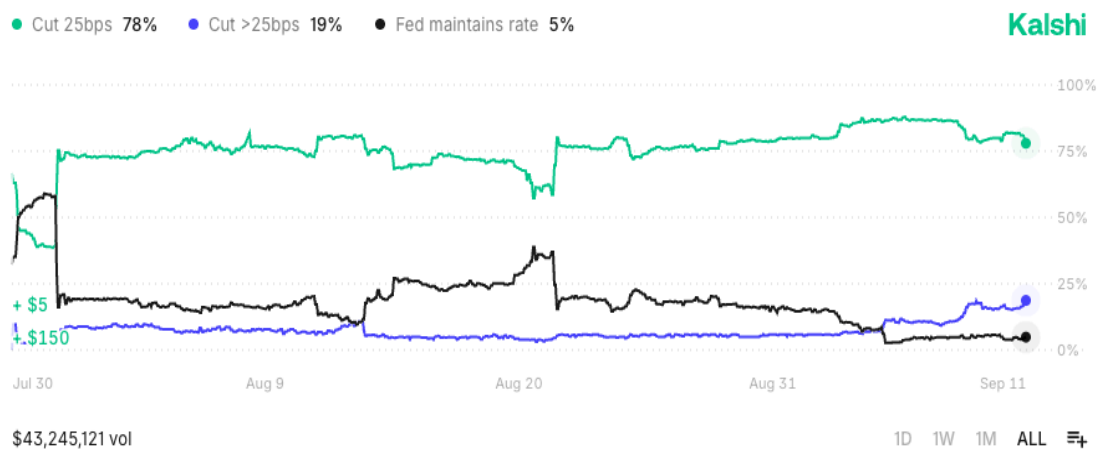
Link: [WSJ Article](#)

Summary:

Fed Governor Lisa Cook will **retain her seat for now**, until court rulings solve the legal accusation imposed by the Trump administration.

Key Takeaways:

- Cook will be able to take part in the next Fed's meeting on September 16 and be part of the monetary policy decision on September 17.
- Cook was sued by the Trump administration, which claimed she lied on her mortgage application prior to taking office. Trump argued that this qualifies as proper cause for removal. The Court will determine whether this allegation meets the threshold for removal, as the Federal Reserve Act doesn't clearly define what "cause" entails.
- Lawyers argue that the Federal Reserve is not only an independent institution, but that it holds a uniquely special status even among other independent agencies.



Kalshi.com, Sept 11, 2025. Screenshot used under fair dealing for educational purposes.



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- Kalshi, a **real-money market**⁶, allows people to do financial “betting”. Real-money markets are currently predicting that a 25 bps cut will occur in September. This will be the first interest rate cut since March, 2020. It is important to note that some of this expected cut is already **priced**⁷ into the **market**.

Educational Angle:

Economics students need to understand that almost 80% of all international transactions are done in U.S. dollars. The U.S dollar is the foundation of the global financial system.



VSEUS, Economics Gazette, Internal Analysis

This flowchart shows how lower U.S. interest rates can trigger capital outflows, weaken the U.S. dollar, and reduce Americans' purchasing power by making imports more expensive. A weaker U.S. dollar reduces Americans' ability to buy foreign goods, which can lower global demand, especially for countries that rely heavily on U.S. imports like Mexico and Canada.

⁶ Real-money Markets: They often call prediction markets, as they offer a tangible way to estimate real probabilities over event outcomes. They are perceived as more real, because people are actually putting some money at risk when stating their expectations.

⁷ Priced in: It means that the market has already adjusted prices to reflect an expected future event.



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Article 3: Anglo Has Put Itself in Play With Teck Offer, Canaccord Says

Author, Source & Date Published: Thomas Seal & Randy Thanthong-Knight,
Bloomberg, September 9, 2025

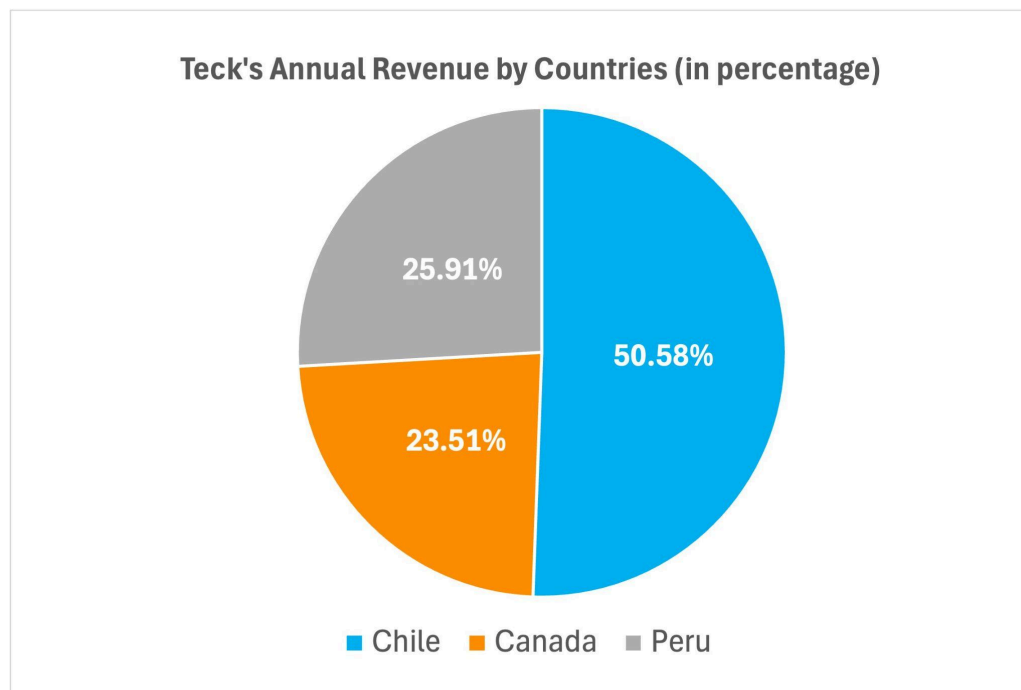
Link: [Bloomberg article](#) & [Teck Q2 2025](#)

Summary:

Teck and American Anglo are pledging to complete a merger.

Key Takeaways:

- Teck, a Vancouver based mining company, is sometimes referred to as the “Canadian Champion”. However, it is important to note that it has a considerable amount of its operations abroad.



VSEUS, Economics Gazette, Internal Analysis based on [Teck's 10k \(2024\)](#)



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- Teck's and Anglo merger could be classified as a friendly horizontal merger⁸. Anglo's bid shows it's aiming to strengthen its copper production. Copper is one of the most important materials for the AI revolution and the construction of data centers. Its demand will likely increase during the following years.
- Teck's operation allocation signals a complex path towards completing this transaction. The Canadian government may block the acquisition, if it perceives this could affect the long-term investment in Canada.

Educational Angle:

Students must understand that in most M&A transactions, the buyer offers to pay more than the current market value of the target company's shares. Why? They are paying to have higher market share and its potential growth, which is called **control premium**. Control premium varies among different industries, however, a rough estimate is between 20%-40%. This is what is making the transaction somewhat unusual, since the last reported premium on this transaction was below normal levels, 17%.

⁸ Friendly Horizontal Merger: When two companies operating in the same industry and at the same stage of the value chain agree to merge to increase their market share and seek for synergies (ways they can increase their efficiency and reduce costs).